Nigerian Electricity Regulatory Commission (NERC)

The comprehensive FAQ for electricity customers, businesses, investors and students | Compiled 16 October 2026

Please note. Nigeria's power sector changes fast: tariffs are reviewed, more states are taking over regulation, DisCos are restructuring and NERC issues new orders often. This FAQ summarises what published sources reported when it was compiled (including reports up to October 2026). Where a rule, rate or figure has changed, or applies differently in your state, the official position at nerc.gov.ng, your DisCo or your State Electricity Regulator prevails. It is general information, not legal advice. Sources are listed at the end.

Contents

1. About NERC and who does what
2. History of Nigeria's power sector
3. The Electricity Act 2023
4. State electricity regulators (the 2024 to 2026 transition)
5. Distribution companies (DisCos)
6. Tariffs and service bands
7. Subsidy, debt and market finance
8. Generation, the national grid and supply
9. Meters and billing
10. Connections and disconnections
11. Complaints and dispute resolution
12. Customer rights and obligations
13. Electricity theft, vandalism and offences
14. Licences, permits and business questions
15. Solar, self-generation and off-grid power
16. Institutions and regulations at a glance
17. Timeline of recent developments (2023 to 2026)
18. Practical tips and a sample complaint
19. Glossary
20. Notes and sources

1. About NERC and who does what

What is NERC?

NERC is Nigeria's federal electricity regulator. Its published guidance under the Electricity Act 2023 lists duties that include approving tariffs for interstate services and for states that have no regulator of their own, resolving disputes and enforcing compliance with the Act. It was created by the Electric Power Sector Reform Act 2005 as the independent regulator of the sector. Recent reports identify Musiliu Oseni as NERC's chairman and Joseph Tegbe as Nigeria's Minister of Power.

What does NERC actually do?

Its work falls into these areas:

- Licensing and permitting: generation, distribution, system operation, trading and captive power (Section 14).
- Tariff regulation: approving tariffs and periodic reviews under the Multi-Year Tariff Order (MYTO) framework.
- Customer protection: regulations on billing, metering, connection and disconnection, plus complaint handling and Forum Offices.
- Enforcement: ordering compensation or refunds and imposing fines on licensees that breach rules.
- Oversight of the national grid and market: inter-state and international generation, transmission, supply and trading.
- Quarterly and monthly reporting on sector performance (collections, generation, subsidy, complaints).

Who are the main players in the electricity sector?

The sector is often called the Nigerian Electricity Supply Industry (NESI).

Player	Role
Federal Ministry of Power	Sets sector policy.
NERC	Federal regulator and licensing authority.
State Electricity Regulators	Regulate intrastate electricity markets in states that have taken over.
Generation companies (GenCos)	Generate electricity and sell into the wholesale market.
Nigerian Bulk Electricity Trading Plc (NBET)	Bulk trader that has historically bought from GenCos and sold to DisCos; remittances to NBET are tracked by NERC.
Transmission Company of Nigeria (TCN)	Owns and operates the high-voltage transmission network.
Nigerian Independent System Operator (NISO)	Market and system operator, set up to take these roles over from TCN.
Distribution companies (DisCos)	Distribute and sell electricity to customers, read meters and bill.
Meter Asset Providers (MAPs)	Approved companies that finance, supply and install meters.
NEMSA	Nigerian Electricity Management Services Agency, which deals with technical standards compliance.
FCCPC	Federal consumer protection agency that works alongside NERC.

Is NERC the same as my electricity company?

No. NERC regulates; your DisCo supplies and bills. If you have a problem you normally go to the DisCo first, then to NERC or your State Electricity Regulator.

Does NERC sell electricity or issue prepaid tokens?

No. Tokens and bills come from your DisCo (or its licensed vending channels). NERC sets the rules those companies must follow.

2. History of Nigeria's power sector

How did we get here?

A short timeline of the main milestones:

Year	Milestone
1929	Nigeria's first electricity utility, the Nigerian Electricity Supply Corporation (NESCO), is established.
1959	The Electricity Corporation of Nigeria is set up by an Act of Parliament; the Niger Dam Authority follows for the Kainji dam; both later merge into NEPA.
2005	The Electric Power Sector Reform Act (EPSRA) is passed. It creates NERC and unbundles NEPA/PHCN into 18 successor companies: 6 GenCos, 1 transmission company (TCN) and 11 DisCos.
2013	Privatisation of the successor GenCos and DisCos is completed (core investors acquired a minimum 51 percent of government equity); PHCN ceases to exist.
2018	Meter Asset Provider (MAP) regulation introduced to close the metering gap.
2020	Service-Based Tariff introduced, grouping customers into bands A to E by hours of supply.
2023	Electricity Act 2023 signed (June) and Customer Protection Regulations 2023 issued (April).
2024	Band A tariff reset (April); ISO order (April); Eligible Customer Regulations; MAP meter price deregulation; first state transfers begin.
2025	Lagos market regulation takes effect; Lagos DisCo subsidiaries licensed; more state transfers.
2026	16 then 17 states reported regulating their own markets; Feb 2026 MAP reimbursement order; subsidy remains a major fiscal issue.

Why was the sector privatised?

The state-run NEPA/PHCN model had performed poorly, with unreliable supply and chronic underinvestment. The 2005 reform aimed to bring in private capital by unbundling the utility and selling the successor generation and distribution companies. Critics note that DisCos did not invest enough in their networks, tariffs were not commercially viable for years, and technical and commercial losses remained high, which is why tariff and metering reform stayed central.

What was the Transitional Electricity Market?

After 2013 a transitional market operated with NBET as a bulk trader: buying from GenCos and independent power producers and selling to DisCos, with plans to move later to direct DisCo-GenCo contracts. NBET's intermediary role and the question of who pays for tariff shortfalls remain central to the sector's finances today (Section 7).

3. The Electricity Act 2023

What is the Electricity Act 2023 and what did it change?

The Electricity Act was signed into law in June 2023 and repeals the 2005 EPSRA. It followed a constitutional amendment that removed electricity from the exclusive federal legislative list, so states can now legislate on electricity. NERC remains the central regulator for inter-state and international generation, transmission, supply, trading and system operations.

What are its main features?

- Decentralisation: states may establish regulators and regulate intrastate markets after notifying NERC and requesting a transfer of regulatory authority.
- Independent System Operator: provides for market and system operation to sit with an independent entity rather than TCN.
- Promotion of embedded generation, hybridised generation, co-generation and renewable energy when NERC grants generation licences.
- Recognition of mini-grids, independent electricity distribution networks and independent electricity transmission networks, including under state laws.
- Eligible customers: certain large users may buy power from licensees other than a distribution licensee.
- Offences and penalties for electricity theft, meter tampering, vandalism and non-compliance (Section 13).
- Licences and permits are mandatory for regulated activities: acting without one is an offence.

Where is the Act's text?

The Act and NERC's regulations are published on nerc.gov.ng. This FAQ relies on NERC's summaries, law-firm commentary and news reports rather than a direct reading of the Act, so consult the official text for legal questions.

4. State electricity regulators (the 2024 to 2026 transition)

How does a state take over regulation?

A state must pass its own electricity law, set up a regulator and formally notify NERC, requesting a transfer. NERC then issues a transfer order. In many cases the order directs the DisCo operating in that state to incorporate a subsidiary (a 'SubCo') that must obtain a distribution licence from the state regulator, typically within 60 days of the order. One legal commentator writes that the Act obliges NERC to complete handover within six months of the state following the process.

Which states now regulate their own electricity markets?

NERC's own update of 4 May 2026 lists 15 states: Abia, Anambra, Bayelsa, Edo, Ekiti, Enugu, Imo, Kogi, Lagos, Nasarawa, Niger, Ogun, Ondo, Oyo and Plateau. NERC's chairman later said 16 states had been transferred (July 2026), and in August 2026 NERC transferred Akwa Ibom to its state commission (AKSERC), which reports describe as making 17. I could not identify the 16th state from the sources I read. Akwa Ibom's transfers under the order are due to be completed by 17 February 2027, and the Port Harcourt DisCo must incorporate a subsidiary for the state within 60 days from 18 August 2026.

Status	States reported
Transferred (NERC list, May 2026)	Abia, Anambra, Bayelsa, Edo, Ekiti, Enugu, Imo, Kogi, Lagos, Nasarawa, Niger, Ogun, Ondo, Oyo, Plateau
Added later (reports, Jul to Aug 2026)	Akwa Ibom (AKSERC), plus one further state not identified in my sources to reach the reported total of 17
All other states	Still regulated by NERC until they complete the process

Who do I complain to now?

If your state is on the transferred list, complaints go to your State Electricity Regulator, not NERC. NERC has stated that consumers in those states should engage directly with their regulator. Elsewhere, NERC still handles complaints, tariffs and DisCo oversight.

Does anything change for my tariff and rules after a transfer?

Not automatically. Lagos's regulator, for example, stated that existing national regulatory instruments (tariff guidelines, grid codes, safety standards and metering regulations) continue to bind licensees in the state unless amended. Over time state regulators can issue their own codes, licences and tariff decisions, so check your state regulator's website.

What happened in Lagos?

NERC transferred Lagos's market to the Lagos State Electricity Regulatory Commission (LASERC) in December 2024 and directed Eko and Ikeja Electric to set up subsidiaries for intrastate supply. LASERC issued its framework order (Order No. LASERC ORDER/001/2025) in June 2025, prohibiting regulated activity in the state without a LASERC licence or permit. In October 2025 LASERC issued distribution licences to Excel Distribution Company Limited and IE Energy Lagos Limited, which took over from Eko and Ikeja Electric respectively in the Lagos market. LASERC has since introduced a Retail Electricity Supply Code and set metering obligations under the Lagos State Electricity Law 2024.

What is a DisCo 'SubCo'?

A state-level subsidiary carved out of an existing DisCo to run distribution and supply inside one state under that state's licence. Examples in transfer orders include subsidiaries for Lagos (Eko and Ikeja), Nasarawa (Abuja DisCo), Bayelsa and Akwa Ibom (Port Harcourt DisCo).

Can states license mini-grids and independent networks?

Yes. The Act recognises state laws that license persons to build and operate generation, distribution, mini-grids and independent distribution or transmission networks within the state. Mini-grids already licensed by NERC are to be regulated by the state regulator where they are located.

5. Distribution companies (DisCos)

How many DisCos are there and what areas do they cover?

Eleven privatised DisCos are generally listed, plus Aba Power Electric in Abia, sometimes counted as a twelfth. Coverage reported in public sources is below; for Jos and Yola, check the DisCo's website. Franchise areas are shifting as states create their own regulators and DisCo subsidiaries.

DisCo	Areas reported
Abuja (AEDC)	FCT, Niger, Nasarawa, Kogi
Benin (BEDC)	Parts of Edo, Delta and Ondo
Eko (EKEDC)	Lagos (part); Lagos intrastate business now with a licensed subsidiary company
Enugu (EEDC)	Abia, Anambra, Ebonyi, Enugu, Imo
Ibadan (IBEDC)	Oyo, Ogun, Osun, Kwara
Ikeja Electric (IKEDC)	Lagos (part); Lagos intrastate business now with a licensed subsidiary company
Jos (JED)	Check DisCo website
Kaduna Electric (KAEDCO)	Kaduna, Kebbi, Sokoto, Zamfara
Kano (KEDCO)	Kano, Katsina, Jigawa
Port Harcourt (PHED)	Rivers, Bayelsa, Cross River, Akwa Ibom
Yola (YEDC)	Check DisCo website
Aba Power Electric	Nine local government areas in Abia State

How well are customers metered?

Reports using NERC data show large differences. Ikeja (about 85%) and Eko (about 83%) lead, followed by Abuja (about 73%); only Port Harcourt beyond them exceeded 60%. Yola, Jos, Kaduna and Kano still had a majority of customers unmetered, with each above 65%. Over 3.65 million meters had been installed since 2019 by the time of those reports.

How are DisCos performing financially?

NERC factsheets show DisCos collected roughly NGN 1.2 trillion in the first half of 2026. BusinessDay reports they failed to bill about NGN 400 billion worth of energy in the same period, which NERC attributes largely to energy theft, poor energy accounting and the inability to bill at the allowed average tariff. Several DisCos, notably in the north, collect only around half to 60% of what they bill.

Have DisCos been sanctioned?

Yes. NERC has fined and ordered refunds in several cases, for example AEDC in April 2024 (refunds to Band B to E customers billed above their tariff plus a NGN 200 million fine), compensation orders to nine DisCos for Band A shortfalls, and orders on non-compliance with estimated-billing caps. The FCCPC also sealed the headquarters of Ikeja Electric in December 2025 over continued violations of consumer rights and non-compliance with directives.

6. Tariffs and service bands

What are the service bands?

Since 2020 NERC has used a Service-Based Tariff that groups customers (by feeder) by the hours of supply they receive per day:

Band	Minimum daily supply	Reported tariff (NGN per kWh, approx.)
A	20 hours	About 209.5 to 225 (varies by DisCo and review)
B	16 hours	About 63
C	12 hours	About 50
D	8 hours	About 43 to 45
E	4 hours	About 40

These figures come from public reports and tariff aggregator sites and are approximate. Rates vary slightly between DisCos and change with NERC reviews, so confirm yours on your DisCo's tariff notice.

What happened with Band A in 2024?

In April 2024 NERC raised the Band A tariff roughly threefold, from the mid-NGN 60s per kWh to NGN 225, citing the exchange-rate change from about NGN 919 to NGN 1,463 per dollar. NERC then allowed monthly reviews linked to the exchange rate, inflation and gas price. The rate was adjusted down in May 2024 (to about NGN 206.8) and then to NGN 209.5 from July 2024. Bands B to E stayed unchanged. Sources differ slightly on the exact starting rate (NGN 66 or 68).

Are tariffs still frozen?

Reports in 2026 describe regulated tariffs as held at the benchmark set in mid-2024, with the cost-reflective benchmark rising faster. NERC has issued updated tariff orders for some DisCos (including Ibadan, Eko, Enugu and Abuja), and the Power Minister said in October 2026 that the government cannot keep covering tariff shortfalls indefinitely, though that statement did not confirm an immediate increase.

What is the MYTO?

The Multi-Year Tariff Order is NERC's framework for setting DisCo and TCN tariffs, adjusted through periodic and supplementary orders (for example the 2024 MYTO and its supplementary orders). It is how bands, rates and service commitments are formally set.

Can I choose my band?

No. Your band follows the supply hours of your feeder. A DisCo can apply to NERC to migrate a cluster of customers; once NERC approves, customers are notified by SMS and other channels.

What if I am on Band A but do not get 20 hours?

If supply falls below 20 hours for two consecutive days, the DisCo must publish a notice by 10 am the next day with the reason and a restoration timeline. After seven consecutive days the feeder is downgraded to the band matching actual supply. NERC has also ordered compensation: in one case nine DisCos were told to compensate Band A customers on 557 streets across 152 feeders for an April shortfall where average supply was above 18 but below 20 hours, and in 2026 NERC again ordered DisCos to compensate Band A customers for shortfalls.

What if I am billed above my band's tariff?

That is a billing violation you can report. NERC has ordered refunds in such cases. Keep bills and token receipts and escalate through Section 11.

Why is Band A so expensive compared with the other bands?

Band A is intended to be cost-reflective, while Bands B to E have been held well below cost and are described as subsidised. The government covers the gap (Section 7). Critics argue that service quality does not always justify the difference.

7. Subsidy, debt and market finance

What is the electricity subsidy?

Because regulated tariffs for most customers are below the cost of supply, the government covers the difference. NERC says this is applied at source, mainly through DisCos' payment obligations to NBET. The amount is reported quarterly.

Period	Reported subsidy / obligation
Oct 2024 to Sep 2025 (12 months)	About NGN 1.98 trillion
H1 2025	About NGN 1.05 trillion
2026 Q1	NGN 358.32 billion
2026 Q2	NGN 321.26 billion
H1 2026	NGN 679.58 billion (about 35% lower than H1 2025)

NERC attributed the Q2 2026 decline mainly to lower energy offtake by DisCos, not to tariff changes.

What is the 'circular debt' problem?

GenCos invoice for power generated, DisCos remit part of it to NBET, and the government is expected to fund the tariff shortfall. When the shortfall is paid late or not at all, GenCos cannot pay gas suppliers, which constrains generation. THISDAY reported that GenCos invoiced about NGN 3.16 trillion in 2025 and only around 39% was settled, with outstanding unfunded subsidy debt of about NGN 1.85 trillion by end-2025. In October 2026 the Power Minister cited about NGN 3.3 trillion owed to generation companies.

Will electricity tariffs go up?

That is a policy decision I cannot predict. Officials say the subsidy is not sustainable, DisCos (through their association, ANED) are calling for cost-reflective tariffs, and raising tariffs remains politically sensitive given unreliable supply. Watch NERC announcements and your DisCo's tariff notices.

How do DisCos pay for power?

DisCos are invoiced for energy received and are expected to remit to NBET. In 2026 Q2, NERC said the DisCos' adjusted invoice from NBET was about NGN 326.46 billion and remittance about NGN 306.62 billion (roughly 94% performance), with seven DisCos remitting in full.

8. Generation, the national grid and supply

How much power does Nigeria have?

Reports of NERC's Q1 2026 data put installed grid-connected capacity at 13,625 MW across 28 plants, but actual generation averaged only about 4,113 MW, with plants running at roughly 33% availability. Analysts commonly estimate that Nigeria would need around 30,000 MW for adequate national supply.

Indicator	Reported figure
Installed grid capacity (NERC Q1 2026)	13,625 MW across 28 plants
Average generation (Q1 2026)	About 4,113 MW per hour
Share of thermal plants	More than 70% of installed capacity
Estimated need for adequate supply	About 30,000 MW (expert estimates)
Off-grid capacity added by firms leaving the grid in 2025	About 1,045 MW (reported)

Why does the national grid collapse?

NISO has attributed recent collapses to system-wide disturbances, for example the tripping of multiple 330kV transmission lines and generating units. Wider causes cited include gas supply constraints, thin grid stability margins, ageing infrastructure and the sector's debt problems. Recent events include collapses on 29 December 2025, 23 January 2026 and 27 January 2026, each cutting load to the DisCos to near zero, and a partial collapse on 22 August 2026 that cut generation to about 1,132 MW from over 4,000 MW. Counts of total collapses vary by source, but reports put them above 100 since about 2010.

Why do some areas get more power than others?

Supply is allocated to DisCos and then shared across feeders. Feeders with strong collection, metering and network quality tend to get more hours, which is the logic behind the bands. Load shedding by DisCos after a grid disturbance is also common.

What is NISO's role in all this?

NISO is the independent system operator that was created to run the grid's dispatch and the wholesale market, including scheduling generation and settlement. It publishes grid disturbance information and generation data.

Is Nigeria connected to other countries' grids?

Yes, Nigeria exports to neighbouring countries and NERC regulates international supply. NISO has also carried out synchronisation tests linking Nigeria's grid with the broader West African network. Customers in neighbouring countries have also been reported to owe Nigeria money for supplied power.

9. Meters and billing

What is estimated billing?

Unmetered customers are billed on estimates. NERC sets maximum limits on the kWh a DisCo can estimate for an unmetered customer on a feeder, based on consumption by metered customers in the same category and band. NERC has issued orders against DisCos for non-compliance with those caps. In Q3 2021, about 57% of customers were on estimated billing.

Can my DisCo move me from a meter back to estimated billing?

NERC has said that under the Customer Protection Regulations 2023, DisCos cannot move customers to estimated billing or charge them to replace obsolete or faulty meters, and that a meter older than 10 years does not justify estimated billing.

What if my meter is faulty?

NERC officials have said a customer is entitled to repair or replacement of a faulty meter within two working days of complaint, unless the fault was caused by the customer, who may then pay upfront. Any credit on the old meter must be transferred to the new meter.

What if I dispute an estimated bill?

An unmetered customer disputing an estimated bill may withhold the disputed amount and pay only the last undisputed bill while NERC's dispute process runs.

How can I get a prepaid meter?

Under the Meter Asset Provider (MAP) scheme, customers can pay upfront for a meter and installation through an approved provider; a National Mass Metering Programme (NMMP) also exists. NERC deregulated MAP meter prices in April 2024. A MAP must install within 10 working days of payment, failing which the DisCo must ensure installation within a further 10 days. When you get connected, the DisCo is expected to provide the meter and accessories, and NERC says no new customer should be connected without a meter.

Will I be reimbursed for a MAP meter?

Under NERC Order No. NERC/2026/025 (signed 27 February 2026, reported March 2026), the full cost of a MAP meter must be credited to your account on activation and refunded automatically as monthly credits over the approved period. For post-paid customers it should appear as a separate credit line, and DisCos may not offset it against legacy debt. NERC separately ordered DisCos to refund about NGN 20.33 billion in meter costs.

What is STS meter migration?

STS is the token standard used by prepaid meters. NERC directed DisCos to complete the migration of customers' meters to the newer standard (including free token issuance for the key change), warning of daily penalties for each meter not migrated from 1 January 2025. Customers should not be charged for migrating obsolete or faulty meters.

How should I be billed and when must I pay?

Bills can be delivered physically or electronically as agreed with you. The payment date must be at least 10 days after the bill is delivered. DisCos may not bill you for periods when you are disconnected.

What if the previous occupant owed money?

NERC guidance says a defaulting customer's debt should not be transferred to a new occupant when the customer relocates, and a final meter reading and bill should be produced when a customer leaves. As a customer you are also expected to ask the DisCo about outstanding bills before moving into new premises.

Which complaints are most common?

In Q3 2025, billing accounted for about 31% of complaints, metering about 23% and tariff bands about 18%. Billing issues were also the biggest category (55.5%) of appeals to NERC Forum Offices.

10. Connections and disconnections

What do I need to get connected?

Provide the connection requirements set by NERC and your DisCo; customers supply connection materials to the DisCo's standards while the DisCo provides the meter. A DisCo may refuse supply if you do not provide acceptable identification or pay a requested security deposit. New connections must be metered before energising.

When can a DisCo disconnect me for non-payment?

Under the Customer Protection Regulations 2023, the payment date must be at least 10 days after bill delivery, and disconnection can be scheduled no earlier than two working days after the payment date (a grace period). The DisCo must check its records to confirm you have not paid and give notice with the date, time and reason. Reports summarise this as roughly 12 days from bill delivery.

Can a DisCo disconnect me without notice?

In limited cases: illegal or unauthorised connection, where supply endangers the network, or where you refuse access for meter reading.

What must the disconnection notice include, and what if disconnection is unlawful?

Besides date, time and reason, the notice should give the contact address and phone number of the DisCo's reconnection team. Where a disconnection breaches the Regulations, compensation is in the form of energy credits. NERC also requires DisCos to translate the Regulations into widely spoken local languages in their areas.

Am I charged while disconnected?

No. DisCos cannot bill customers for periods during which they are disconnected.

11. Complaints and dispute resolution

What are the steps for making a complaint?

The framework is layered:

- Step 1: Lodge the complaint with your DisCo's Customer Complaints Unit (CCU) at the nearest business unit or by its other channels. You may also lodge it with NERC's Customer Complaints Unit by email, letter or the NESI call centre; NERC forwards it to the DisCo and tracks it.
- Step 2: The DisCo should resolve within 15 days of receipt, except complaints on meter accuracy or bill reconciliation, which must be resolved within one billing cycle (one month).
- Step 3: If you are dissatisfied or the DisCo is late (reports describe a 30-day outer limit), escalate to the NERC Forum Office covering your area. The Forum acts as a 'court of second instance'.
- Step 4: If you disagree with the Forum's decision, apply to NERC for a review (reported as within 10 working days) or petition the Commission.
- Step 5: A customer still dissatisfied with the Commission's final decision may appeal to the Federal High Court within 30 days.
- In states with their own regulator, use the State Electricity Regulator for steps 3 onwards.

Can I go straight to court?

The Regulations say a customer should first exhaust internal dispute mechanisms before legal action. The FCCPC offers a further layer of consumer protection and has taken enforcement action against DisCos.

How common are complaints and are they resolved?

Reported Q3 2025 figures:

Channel	Complaints filed	Resolved
NERC Customer Complaints Unit	833	519
DisCo CCUs (all DisCos)	168,033	Not stated
NERC Forum Offices	1,476	924

Billing, metering and tariff-band issues were the top categories.

How do I contact NERC?

Head office: Plot 1387, Cadastral Zone A00, Central Business District, Abuja, FCT. Telephone: +234-09-462-1400 or 09-462-1410. Email: info@nerc.gov.ng. Complaints can also be filed through the complaints page on nerc.gov.ng, which also lists the Forum Offices. Use official websites for contact numbers, as unofficial pages often carry outdated or incorrect ones.

Does NERC take complaints in person?

NERC holds townhall meetings and complaints-resolution sessions in different states, where DisCo teams address customers' complaints on site.

12. Customer rights and obligations

What are my rights?

Per NERC's consumer rights page and the Customer Protection Regulations 2023, customers have the right to:

- Safe and reliable electricity supply.
- A properly installed, functional meter, and no new connection without a meter.
- Fair, transparent billing, and the right to contest any bill. Unmetered customers must be billed strictly under NERC's estimated billing methodology.
- Written notice before disconnection, in line with NERC guidelines.
- File complaints and have them promptly investigated, escalate to the Forum Office, and appeal Forum decisions to the Commission.
- Repair or replacement of a faulty meter within two working days of complaint (unless the fault is theirs).
- Not be responsible for buying, replacing or repairing transformers, poles and related network equipment.

What are my obligations?

- Pay electricity bills on time.
- Avoid unauthorised personnel for connections; do not tamper with, bypass or move meters.
- Give the DisCo access to read, inspect or repair the meter.
- Provide the connection requirements set by NERC and the DisCo.
- Comply with the Distribution Code.
- Take care of the meter and prevent unauthorised access to it.
- Notify the DisCo of any outstanding bill before moving into new premises.

Can communities pay for network upgrades?

NERC has a regulation allowing customers who want to restore supply to invest voluntarily in materials and installation for the network. This is voluntary and distinct from the position that buying or maintaining utility equipment is not the customer's responsibility.

13. Electricity theft, vandalism and offences

What counts as an electricity offence?

The Electricity Act 2023 lists offences including tapping power, tampering with or bypassing a meter, damaging or destroying meters, theft of electric lines and materials, damaging network equipment, obstruction, impersonation and unauthorised connection. Aiding or abetting an offence is itself an offence.

What are the penalties?

Penalty figures differ between published summaries, so treat these as indicative and check the Act. Reports describe:

- Electricity theft: fines of at least three times the financial gain on first conviction (six times for repeat offenders), with imprisonment reported in the range of six months to three years.
- Theft of electric lines and materials: reported imprisonment of up to several years; receiving stolen electricity assets: reported up to 14 years.
- Breach by a licensee of a NERC order: a daily penalty reported at up to NGN 20 million.
- General contravention of the Act or regulations: fines and short jail terms with additional daily penalties for continuing offences.
- False declarations under the Act: fines and imprisonment.

Who prosecutes electricity offences?

The Federal Ministry of Justice runs a Special Investigation and Prosecution Taskforce on Electricity Offences (SIPTEO), and DisCos have partnered with the Attorney General's office and the police to prosecute vandals.

Is moving or buying a meter outside the official channel an offence?

DisCos warn that illegally moving or removing a meter counts as energy theft and that meters bought outside the recognised channel can cause problems. Use MAP or DisCo-approved channels for meters.

How big is the problem?

NERC reported that vandalism accounted for about 13% of power-related accidents in Q1 to Q3 2023. TCN reported spending about NGN 8.8 billion on repairing vandalised transmission towers, and DisCos' unbilled energy (about NGN 400 billion in H1 2026) is linked by NERC to theft and poor energy accounting.

14. Licences, permits and business questions

What licences and permits does NERC issue?

Under the 2023 Act, NERC's framework includes:

- Generation licences: on-grid, embedded (connected through a distribution system) and off-grid (selling to a single buyer).
- Distribution licences for inter-state or grid-connected distribution.
- System operation licences, covering dispatch scheduling and wholesale market administration.
- Electricity trading licences.
- Mini-grid permits: generation up to 1 MW, with distribution capacity above 100 kW.
- Captive power generation permits: generation above 1 MW for self-consumption. NERC lists a processing time of up to six months.
- Meter Asset Provider (MAP) permits for metering service providers.
- In transferred states, intrastate licences come from the State Electricity Regulator.

Is operating without a licence an offence?

Yes. Engaging in regulated electricity activities without the right licence, permit or authorisation is an offence. In Lagos, LASERC has said a licence from another regulator, including NERC, does not exempt intrastate operators from needing a LASERC licence.

What are mini-grid rules?

NERC issued new Mini-Grid Regulations on 29 December 2023, replacing the 2016 regulations. Reported changes include: permits can be transferred or sold with NERC's written consent; an interconnected mini-grid needs both a NERC-approved tripartite agreement and a permit; DisCos must give at least 12 months' notice before extending the grid to an isolated mini-grid and must compensate permit holders; and breaches of environmental law can lead to suspension or termination of a permit.

What are eligible customers?

Under the Eligible Customer Regulations 2024, large users meeting consumption and connection criteria can buy electricity from licensees other than a distribution licensee, such as GenCos with uncontracted capacity. The aim is more competition and better access for unserved and underserved customers. Thresholds depend on the class of eligible customer and have been described at different levels in different documents (a NERC stakeholder meeting referred to a six-megawatt threshold), so read the regulation for the class that applies. The tariff is the prevailing rate for the same tariff class unless negotiated bilaterally with the distribution licensee.

What is a captive power permit and who is getting them?

Captive permits cover plants built to power the owner's own operations, not for sale to a third party. NERC reported nine captive permits in Q1 2024 totalling 52.57 MW, including MTN's four plants in Lagos with 15.94 MW. NERC also issued mini-grid permits to companies including Golden Penny Power.

How does the Act encourage renewable and embedded power?

NERC is directed to promote embedded generation, hybridised generation, co-generation and renewable sources (solar, wind, small hydro, biomass) when granting generation licences.

15. Solar, self-generation and off-grid power

Do I need a permit to use solar at home or in my business?

The published rules I found refer to a captive permit for self-generation above 1 MW and mini-grid permits for supply to others up to 1 MW. I did not find a definitive statement of requirements for small rooftop or household solar systems, so check with NERC or your State Electricity Regulator before building anything beyond ordinary own-use installations.

Why are many businesses going off-grid?

With grid generation averaging around 4,000 MW and recurring collapses, many firms rely on captive generation. Reports say more than 20 firms left the national grid in 2025, adding about 1,045 MW of off-grid capacity. The Eligible Customer and mini-grid rules are intended to help bigger users and communities find alternatives.

Is there a net-billing or net-metering plan?

Press reports have mentioned a NERC proposal on net billing for solar customers, with experts split. I did not find an adopted rule, so treat it as proposed and check nerc.gov.ng for updates.

16. Institutions and regulations at a glance

Which regulations and instruments matter most?

Instrument	What it covers
Electricity Act 2023	Primary law: structure, licences, states, offences.
Customer Protection Regulations 2023	Billing, metering, connection, disconnection, complaints, service standards.
Service-Based Tariff / MYTO 2024 and supplementary orders	Tariff bands, rates and service commitments.
Meter Asset Provider and National Mass Metering Regulations (and 2026 reimbursement order)	Meter financing, pricing, installation and refunds.
Mini-Grid Regulations 2023	Permits and operation of mini-grids.
Eligible Customer Regulations 2024	Direct supply from licensees to large users.
Grid Code, Market Rules, Metering Code	Technical and market operating rules.
Order on the Independent System Operator (April 2024)	Creation of NISO and the transfer of market and system operation.
State electricity laws and regulators' orders	Local licensing, tariffs, codes and complaints in transferred states.

What is DISREP?

The Distribution Sector Recovery Programme (DISREP) is described by the Bureau of Public Enterprises as a reform programme to strengthen DisCo accountability and support a more sustainable electricity supply system.

17. Timeline of recent developments (2023 to 2026)

When	Development
Apr 2023	Customer Protection Regulations 2023 published; electricity service charter issued.
Jun 2023	Electricity Act 2023 signed.
29 Dec 2023	New Mini-Grid Regulations issued.
Apr 2024	Band A tariff increased; NERC order establishing the independent system operator; MAP meter prices deregulated.
Mid 2024	Band A adjusted to NGN 209.5 per kWh; Eligible Customer Regulations 2024; first state transfers.
Dec 2024	Lagos regulation transferred to LASERC.
1 Jan 2025	Daily penalties for DisCos not completing STS meter migration take effect.
Jun 2025	LASERC issues its framework order for the Lagos market.
Oct 2025	LASERC licenses subsidiaries to take over Eko's and Ikeja's Lagos businesses.
Dec 2025	FCCPC seals Ikeja Electric's headquarters; grid collapse on 29 December.
Jan 2026	Grid collapses on 23 and 27 January.
27 Feb 2026	Order NERC/2026/025 on automatic MAP meter reimbursement.
4 May 2026	NERC notes 15 states with active State Electricity Regulators.
Jul 2026	NERC chairman confirms 16 states.
Aug 2026	Akwa Ibom transfer, reported as the 17th state; partial grid collapse on 22 August.
Q2 2026 report	NERC reports H1 2026 subsidy of NGN 679.58 billion.
Oct 2026	Power Minister says the government cannot keep paying the tariff shortfall indefinitely.

18. Practical tips and a sample complaint

- Keep copies of bills, token receipts, meter photos and complaint reference numbers; they are your evidence at every stage.
- Complain to the DisCo first, in writing where possible, and note the date. Escalate to the Forum Office or State Electricity Regulator if there is no resolution in the stated time (15 days; one billing cycle for meter and bill disputes).
- Ask your DisCo in writing which band your feeder is on and track actual supply hours, especially on Band A.
- Pay for meters only through the approved MAP process, keep proof of payment, and check that reimbursement credits appear on your account.
- Never allow unauthorised persons to connect or reconnect your supply or move your meter.
- If your state has its own regulator, use its complaints channel and read its supply code.
- Use official NERC, state regulator and DisCo websites for contact details and tariff notices.

What should a complaint letter include?

- Your name, address, meter or account number and contact details.
- A clear description of the problem and the dates it occurred (for example, hours of supply recorded, bill dates, token purchase dates).
- What rule or right you think was breached (for example, billing above your band, an estimated bill capped incorrectly, or a faulty meter not replaced within two working days).
- What you want: correction, refund, replacement meter or compensation.
- Copies of supporting documents, and the reference number of any earlier complaint.
- A request for a written response within the stated time, and a note that you will escalate to the Forum Office or your State Electricity Regulator if unresolved.

19. Glossary

Term	Meaning
NESI	Nigerian Electricity Supply Industry.
DisCo / GenCo	Distribution company / generation company.
TCN	Transmission Company of Nigeria.
NISO	Nigerian Independent System Operator: market and system operator.
NBET	Nigerian Bulk Electricity Trading Plc.
NEMSA	Nigerian Electricity Management Services Agency.
SER / SERC	State Electricity Regulator / State Electricity Regulatory Commission (e.g. LASERC in Lagos).
SubCo	State-level subsidiary created by a DisCo to operate under a state licence.
MYTO	Multi-Year Tariff Order, NERC's tariff framework.
SBT	Service-Based Tariff: the band system (A to E).
Feeder	Distribution line serving a group of customers; bands apply per feeder.
MAP / NMMP	Meter Asset Provider scheme / National Mass Metering Programme.
STS	Standard Transfer Specification: the prepaid meter token standard.
CCU	Customer Complaints Unit (at the DisCo or at NERC).
Forum Office	NERC consumer forum for unresolved complaints.
MD customer	Maximum-demand customer, typically a large commercial or industrial user.

Term	Meaning
Eligible customer	Large user permitted to buy power from licensees other than a DisCo.
Captive power	Generation for the generator's own use.
Mini-grid	Small supply system with its own generation up to 1 MW.
Embedded generation	Generation connected through the distribution network.
Subsidy / tariff shortfall	Gap between cost-reflective tariff and the regulated tariff, funded by government.
Circular debt	Chain of unpaid obligations across DisCos, NBET, GenCos and gas suppliers.
FCCPC	Federal Competition and Consumer Protection Commission.
DISREP	Distribution Sector Recovery Programme.

20. Notes and sources

Things worth double-checking. The exact current count and list of regulating states (the 16th state was not identified in my sources); the tariff for your band and DisCo today; the franchise areas of Jos and Yola; the current status of NISO's takeover of market and system operation; penalty figures under the Electricity Act (sources differ); eligible-customer thresholds; and any change to complaint timelines since 2025. The text of the Electricity Act and the regulations was not read directly, so points about them come from NERC pages, legal commentary and news reports. Figures from news aggregators and tariff sites are approximate.

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